Notes: Abramson (JF, 2026)
The Equilibrium Effects of Eviction Policies

Contents

1 Big picture

- **Question.** What are the equilibrium effects of eviction policies, and why can policies designed to protect tenants sometimes increase housing insecurity?
- **Core contribution.** The paper builds a dynamic equilibrium model of the rental market in which households can default on rent, investors price default risk into rents, and housing supply responds to equilibrium house prices.
- **Key mechanism.** Stronger eviction protections help some delinquent tenants stay housed longer, but they raise the expected cost of tenant default to landlords. In equilibrium, landlords respond through higher default premiums, higher rents, and stricter screening.
- **Main empirical input.** Default risk is persistent. The tenants most likely to default are typically young and lower skilled, and their default-driving shocks - job loss and divorce - tend to produce persistent income declines.
- **Main policy result.** A permanent policy that makes eviction harder, such as Right-to-Counsel, is largely ineffective at preventing evictions and increases homelessness in the quantitative model.
- **Why Right-to-Counsel can backfire.** If default risk is persistent, delinquent households often continue defaulting until eventual eviction. Delaying eviction raises expected investor costs without preventing many evictions.
- **Rental assistance contrast.** Means-tested rental assistance reduces default risk before default occurs. It lowers eviction filings, evictions, and homelessness, and improves welfare for low-income households.
- **COVID moratorium contrast.** A temporary eviction moratorium can prevent homelessness after a transitory aggregate unemployment shock, because many households can recover before eviction resumes and investors know the policy is temporary.
- **Economic takeaway.** The right eviction policy depends on the nature of default risk. Protections that delay eviction work well when shocks are transitory, but are less effective and may be harmful when shocks are persistent. Direct assistance works better because it lowers the probability of default ex ante.

2 Data and measurement

2.1 Institutional setting: rental leases and eviction cases

Rental leases in the model and in the institutional discussion are non-contingent: tenants promise to pay a fixed monthly rent that does not automatically adjust to later income shocks. If tenants do not pay rent, landlords can begin a legal eviction process. The legal process matters because it determines three economic objects:

- whether a delinquent tenant is ultimately evicted;
- how long the process takes, which determines how long tenants can remain in the unit without paying current rent;
- how much rental debt the tenant must repay after the case is resolved.

Interpretation: The eviction process is not just a legal detail. It is an equilibrium state variable because it changes the expected cost of a rental contract to investors and therefore changes rents and screening.

2.2 Data on reasons for default

The paper uses survey and administrative evidence on eviction cases to identify the shocks that lead tenants to default on rent. The key fact is that default is mainly triggered by negative income shocks, especially job loss and divorce. These shocks are not equally distributed across households: young and lower-skilled households are more exposed to them.

- The Milwaukee Area Renter Survey is used for evidence on reasons leading to eviction.
- Current Population Survey data are used to compute job-loss, job-finding, divorce, and marriage risks by age and human capital.
- The income process in the model is disciplined by these observed life-cycle and skill-group differences.

Interpretation: The key measurement object is not simply the unconditional probability of eviction. The relevant statistic is the persistence of the income shocks that put tenants into rent default.

2.3 Data on rents, house prices, and housing insecurity

The quantitative model is disciplined using data from San Diego County and complementary national data sources. The paper uses moments on rents, house prices, homelessness, eviction filings, and liquid assets.

- Rental listing data discipline the house-quality segments and rent levels.
- House price moments discipline the housing supply side.
- Eviction filing data discipline default rates and the eviction penalty.
- Homelessness data discipline the utility cost of homelessness and the model's housing insecurity implications.
- Survey of Consumer Finances data discipline the left tail of liquid assets among nonhomeowners.

Interpretation: The calibration deliberately focuses on the left tail of wealth because the policy question is about financially distressed renters. Matching the median renter would not be sufficient for studying evictions and homelessness.

2.4 Targeted moments and internally estimated parameters

The model uses Simulated Method of Moments to estimate parameters that do not have direct empirical counterparts. The targeted moments include:

- average rents in three house-quality segments;
- average house prices in those segments;
- the eviction filing rate;
- the homelessness rate;
- the bottom quartile of liquid assets among nonhomeowners.

Interpretation: Each internally estimated parameter is tied to a specific model margin. House qualities and supply scales pin down housing market levels; the eviction penalty pins down default and filing behavior; the homelessness utility pins down the homelessness rate; and the discount factor pins down the liquid-asset left tail.

2.5 Key outcomes

The model and counterfactuals focus on five main outcomes:

- **Eviction filing rate:** the share of renter households that face an eviction case during the year.

- **Eviction rate:** the share of renters who are evicted during the year.
- **Eviction-to-default rate:** the probability that a default spell ends in eviction.
- **Homelessness rate:** the share of households that are homeless.
- **Rent and default premiums:** equilibrium rents and the component of rents required to compensate investors for default risk.

Interpretation: The distinction between eviction filings and evictions is important. A policy can reduce formal evictions conditional on default but still increase homelessness if it raises rents enough to screen households out before they rent.

3 Models and theoretical specifications

3.1 Households

Households live for A months, choose consumption and housing services, and save in a risk-free asset subject to a borrowing constraint. Per-period utility is

$$U(c_t, s_t, n_t),$$

where c_t is numeraire consumption, s_t is the housing-service flow, and n_t controls for family size. Households can rent houses of quality $h \geq h_1$, where h_1 is the minimum legal or technological house quality. Homeless households receive housing services $u < h_1$.

Interpretation: The minimum quality constraint is central. If a poor household cannot afford the lowest-quality legal unit, it cannot simply downsize continuously; it becomes homeless.

3.2 Income process

During working life, household income is

$$y_t = \begin{cases} f(a_t, e, m_t) z_t u_t, & z_t > 0, \\ y^{unemp}(a_t, e, m_t), & z_t = 0. \end{cases}$$

The persistent component follows

$$\log z_t = \rho(e, m_t, div_t) \log z_{t-1} + \varepsilon_t, \qquad \varepsilon_t \sim N(0, \sigma_\varepsilon^2(e, m_t, div_t)).$$

Job loss and job finding probabilities depend on age, human capital, marital status, and divorce:

$$JL(a_t, e, m_t, div_t), \qquad JF(a_t, e, m_t, div_t).$$

Interpretation: The income process is designed to reproduce the empirical fact that the main default drivers - job loss and divorce - are especially persistent for young and low-skilled renters.

3.3 Default and eviction

An occupier under a lease chooses whether to pay rent and rental arrears or default. If the household defaults, eviction occurs with probability p. If not evicted, the household receives housing services for the period without paying current rent, and rental debt accumulates. If evicted, the household becomes homeless for the period, pays a fraction ϕ of outstanding arrears, and suffers a proportional wealth loss λ.

$$\text{Default benefit: avoid current rent payment.}$$
$$\text{Eviction cost: temporary homelessness } + \phi \times \text{arrears} + \lambda \times \text{wealth loss.}$$

Interpretation: Tenant protections change p and ϕ. Lower p or lower ϕ helps delinquent tenants conditional on a default, but raises expected default costs for landlords.

3.4 Investors and default premiums

Investors own rental housing and must break even in equilibrium. If a tenant type is risky, the rent menu includes a default premium to compensate investors for expected losses from default:

$$\text{Rent} = \text{risk-free rent} + \text{default premium}.$$

The default premium is higher when default is more likely, when eviction is harder, or when unpaid rent losses are larger.

Interpretation: This zero-profit condition is the main equilibrium feedback. Policies aimed at helping delinquent tenants change prices faced by all potential renters of similar risk.

3.5 Landowners and housing supply

For each house quality h, a representative landowner chooses new supply X_t^h given house price Q_t^h and a decreasing returns technology. The construction cost is

$$C(X_t^h) = \frac{1}{\psi_0^h} \frac{(X_t^h)^{(\psi_1^h)^{-1}+1}}{(\psi_1^h)^{-1}+1},$$

and the implied new supply satisfies

$$(X_t^h)^* = (\psi_0^h Q_t^h)^{\psi_1^h}.$$

Interpretation: Housing supply is upward sloping. If rental assistance increases demand in the bottom segment, house prices and risk-free rents in that segment can rise.

3.6 Government budget

The local government finances homelessness costs and policy costs. A simplified government spending object is

$$G = \theta^{homeless} \times H + \text{policy financing cost},$$

where H is the number of homeless households.

Interpretation: Rental assistance can be fiscally self-financing in the model if the reduction in homelessness costs exceeds the direct cost of the subsidy.

4 Identification and empirical design

4.1 Nature of identification

This is a structural quantitative paper rather than a reduced-form causal design. The paper identifies policy effects by combining: (i) micro facts on default risk and income-shock persistence, (ii) calibrated equilibrium model primitives, and (iii) externally estimated policy effects on eviction-case outcomes.

Interpretation: The estimates are not identified by comparing treated and untreated cities. They are identified through the discipline imposed by micro data and by solving policy counterfactuals inside an equilibrium model.

4.2 Empirical facts that identify the income-risk process

The first layer of identification comes from empirical facts about what causes rent default:

- job loss and divorce are the main drivers of eviction cases;
- young and lower-skilled households face higher job-loss and divorce risk;
- these shocks lead to persistent drops in income;
- job-finding rates differ sharply by age and human capital.

Interpretation: These facts identify why normal-times default risk is persistent. This persistence is the key statistic governing whether eviction protections can prevent evictions or merely delay them.

4.3 SMM estimation and targeted moments

The paper estimates several parameters by matching simulated moments to data moments. Let m^{data} be a vector of empirical moments and $m^{model}(\Theta)$ the model-implied moments under parameter vector Θ. The SMM logic is

$$\widehat{\Theta} = \arg\min_{\Theta} \left[m^{data} - m^{model}(\Theta)\right]' W \left[m^{data} - m^{model}(\Theta)\right].$$

The targeted moments include rent levels, house prices, eviction filing rates, homelessness rates, and the bottom quartile of liquid assets.

Interpretation: The calibration is informative because the same parameters must jointly fit housing prices, rental prices, savings, default, and homelessness. A policy implication that comes only from one moment would be less credible.

4.4 Nontargeted model validation

The paper checks whether the model matches several moments that are not directly targeted:

- the left tail of the wealth distribution beyond the 25th percentile;
- the rent burden of very low-income households;
- the rent-to-price ratio by household income;
- the age profile of eviction filing rates;
- the distribution of homelessness spell durations;
- the correlation between default and persistent income shocks.

Interpretation: These validation exercises are crucial because the model is used for counterfactuals. If it only matched targeted averages but failed on the cross-sectional patterns of distress, the policy results would be less persuasive.

4.5 Identification of Right-to-Counsel policy inputs

Right-to-Counsel is modeled as a change in the eviction regime: it lengthens the eviction process and lowers the debt that evicted tenants are ordered to repay. The policy inputs are guided by randomized evidence from California legal-counsel data:

$$\text{longer process} \Rightarrow \text{lower effective eviction probability } p,$$

$$\text{lower repayment orders} \Rightarrow \text{lower repayment parameter } \phi.$$

Interpretation: The model does not estimate the legal-counsel effect from San Diego equilibrium outcomes. It imports credible case-level estimates and then asks what happens when the policy is implemented economy-wide, allowing rents and screening to adjust.

4.6 Identification of rental assistance effects

Rental assistance is modeled as an in-kind subsidy for low-wealth renters in the bottom housing segment. It lowers the household's out-of-pocket rent and therefore reduces default risk before default occurs.

$$\text{Rental assistance} \Rightarrow \text{lower default probability} \Rightarrow \text{lower default premium.}$$

Interpretation: Rental assistance differs conceptually from eviction protections. It reduces the probability of delinquency rather than changing what happens after delinquency.

4.7 Identification of moratorium effects

The moratorium counterfactual is studied after a large unexpected unemployment shock calibrated to the COVID-19 onset. The moratorium is temporary and lasts 12 months. The key distinction is that the aggregate shock is transitory relative to normal-times default risk.

$$\text{temporary aggregate shock} + \text{temporary moratorium} \Rightarrow \text{time to recover before eviction resumes.}$$

Interpretation: The model predicts a very different result for moratoria because the relevant default risk during COVID is more transitory than the normal-times risk faced by default-prone renters.

4.8 Main threats and limitations

- The model abstracts from endogenous landlord filing decisions: default is assumed to trigger an eviction attempt.
- Labor income is exogenous, so the model does not study labor-supply moral hazard from rental assistance.
- Search and matching frictions in the rental market are simplified.
- The model is calibrated to San Diego and may not directly apply to cities with very different rent burdens, housing supply, or eviction institutions.
- Informal evictions are outside the main data because the paper focuses on formal court filings.

Interpretation: These caveats matter for external validity. The strongest conclusion is not that every tenant-protection policy always backfires, but that persistent default risk plus high rent burden can make permanent eviction protections counterproductive in equilibrium.

5 Tables and figures

5.1 Figure 1: Loss and divorce risk

Read:

- Panel A shows monthly job-loss rates by age and human capital; younger and less educated households face the highest job-loss risk.
- Panel B shows divorce rates; divorce risk is also higher for young and lower-skilled households.
- Panel C focuses on job-loss risk among divorced households, showing that divorce interacts with labor market fragility.
- Panel D shows job-finding rates; recovery from unemployment is heterogeneous by age and human capital.

Interpretation: Figure 1 is the empirical foundation for the model's income process. It shows that the households most likely to default are not hit by purely transitory, one-month shocks. Their risks are concentrated among groups with weaker labor-market recovery and greater family-status instability.

How it fits the paper: The figure explains why eviction protections work poorly in normal times. If delinquent tenants face persistent income problems, additional time in the eviction process often delays rather than prevents eviction.

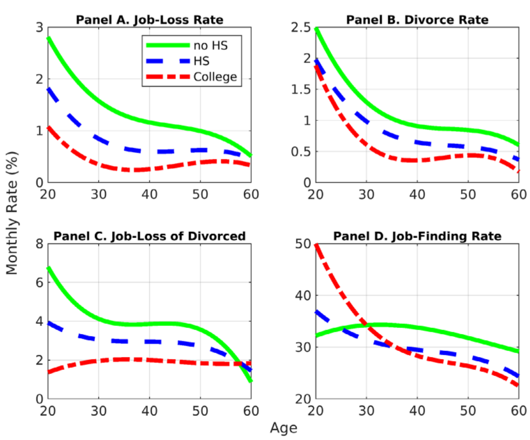

Figure 1. Loss and divorce risk. Panel A (Panel B) plots a third-degree polynomial fit to the age profile of job loss (divorce) rates, by human capital group. Panel C plots a third-degree polynomial

Table I

Internally Estimated Parameters

This table presents the model parameters that are estimated internally via Simulated Method of Moments (SMM). The first column lists the parameters estimated. The second column presents the estimated parameter values. The third column describes the target moments of the estimation. The fourth (fifth) column presents the value of the target moments in the data (model).

Parameter	Value	Target Moment	Data	Model
Technology				
House qualities (h_1, h_2, h_3)	(598,000, 795,000, 1,110,000)	Average rent in 1st quartile, 2nd quartile, top half	(\$808; \$1,196; \$1,809)	(\$800; \$1,198; \$1,802)
Supply scales $(\psi_0^1, \psi_0^2, \psi_0^3)$	(126 7.38, 5.56) $\times 10^{-6}$	Average house price in 1st quartile, 2nd quartile, top half	(\$234,750; \$427,484; \$704,833)	(\$235,000; \$430,000; \$700,000)
Eviction penalty λ	0.982	Eviction filing rate	2.00%	2.05%
Preferences				
Homelessness utility $\underline{u}$	76,180	Homelessness rate	3.32%	3.35%
Discount factor β	$0.6^{\frac{1}{12}}$	Bottom quartile of liquid assets (nonhomeowners)	\$623	\$623

the public cost of "sheltered" homelessness might differ from the cost of "unsheltered" homelessness or from the cost of "doubling up." The SDTEF report thoroughly accounts for the various costs associated with all types homelessness, but does not break those costs down by the type of homelessness. The \$446.2 estimate should therefore be interpreted as the *average* cost per homeless household. I analyze the sensitivity of the counterfactual results to the homelessness cost parameter in Section VI.E of the Internet Appendix.

D. SMM Estimation

For the numerical solution, I consider a model with a discretized set of three house qualities $\{h_1, h_2, h_3\}$. The parameters that I do not have direct evidence on and hence need to be estimated are: (i) the set of house qualities, (ii) the housing supply scale parameter ψ_0^h for each $h \in \{h_1, h_2, h_3\}$, (iii) the eviction penalty λ, (iv) the homelessness utility $\underline{u}$, and (v) the discount factor β. The nine parameters are estimated by minimizing the distance between the model and nine data moments using SMM. Table I summarizes the jointly estimated parameters and data moments. Parameters are linked to the data targets they

5.2 Table I: Internally Estimated Parameters

Read:

- House qualities are set to match rent levels across the bottom quartile, second quartile, and top half of the rental distribution.
- Supply scale parameters match average house prices in the same housing segments.

- The eviction penalty λ is estimated to match the eviction filing rate of about 2%.
- Homelessness utility u is estimated to match the homelessness rate of about 3.3%.
- The monthly discount factor is chosen to match the bottom quartile of liquid assets, equal to $623.

Interpretation: The table ties abstract model parameters to observable moments. For example, the low discount factor is not a generic macro choice; it is chosen to match the financial fragility of distressed renters. The homelessness utility pins down how costly being unhoused must be for the model to generate observed homelessness rates.

How it fits the paper: Table I shows that the model is disciplined simultaneously by housing-market prices and distress outcomes. This is important because policy counterfactuals require both sides of the market: households' default decisions and investors' zero-profit rent setting.

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Table I: Internally Estimated Parameters. The table reports the SMM-estimated parameters, target moments, and corresponding model fits. It demonstrates that the calibration matches rents, house prices, eviction filings, homelessness, and the low end of the liquid-asset distribution.

5.3 Figure 2: Model evaluation; Table II: Financial Assets, Model and Data

Read:

- Figure 2 evaluates the model on several nontargeted or partially targeted moments: rent burden by income, rent-to-price ratios, eviction risk by age, and homelessness spell duration.
- Table II compares the left tail of financial assets for nonhomeowners in the data and in the model.
- The model matches the 25th percentile of liquid assets by construction, but also fits the 1st, 5th, and 10th percentiles reasonably well.

- The model generates high rent burden among low-income households because the minimal quality constraint prevents them from downsizing below h_1.

Interpretation: Figure 2 and Table II are validation exercises. They show that the model is not only matching average eviction and homelessness rates; it is also capturing the left-tail economic conditions that make households vulnerable to eviction.

How it fits the paper: These validations are central to the paper's credibility. The policy results depend on how many households are close to the renting/homelessness margin and how default risk varies across household types.

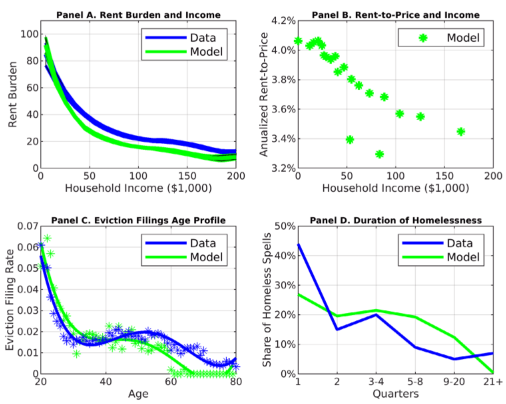

Figure 2. Model evaluation. Panel A plots the conditional mean function estimated from a nonparametric regression of rent burden on annual household income, using 2015 ACS data (in blue) and simulated model data (in green). The shaded areas correspond to the 95% confidence intervals. Standard errors are computed based on 10 bootstrap replications. Panel B shows a bin-scatter plot of annualized rent-to-price ratios against annual household income in the model. Panel C plots age-dependent eviction filing rates in the data (blue, compiled from AIRS data) and in the model (green). The eviction filing rate in the model is the share of renter households who defaulted on rent at least once during the year. Solid lines represent a third degree polynomial fit. Panel D plots the share of homelessness spells by spell duration, in the data (blue, based on NSHAPC data) and in the model (green). (Color figure can be viewed at wileyonlinelibrary.com)

E.1. Rent Burden and Income

The rent burden of low-income renters is important for studying eviction

Table II

Financial Assets, Model and Data

his table presents percentiles of the distribution of financial assets for non homeowners in the ata (second column) and model (third column).

ercentile	Data	Model
st	$0	$0
h	$7	$0
)th	$84	$52
5th	$623	$623
)th	$3,108	$4,236

5.4 Figure 3: Drivers of default

Read:

- The figure decomposes default spells by the type of shock that initiates the default.
- Persistent shocks account for most defaults.
- This fact holds both overall and when the sample is split by household characteristics.

Interpretation: Figure 3 is one of the most important figures in the paper. It directly shows that normal-times rent defaults are predominantly driven by persistent shocks rather than short-lived liquidity problems.

How it fits the paper: The figure is the bridge between data and policy. It explains why policies that only delay eviction may not solve the default problem: many delinquent tenants do not recover quickly enough.

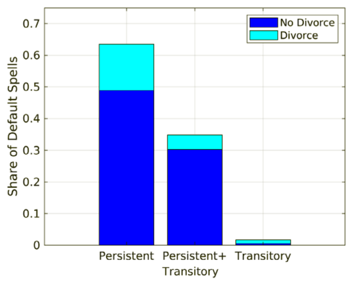

Figure 3. Drivers of default. The default driver is the type of negative income shock that hit the household in the first period of a default spell. "Persistent" ("Transitory") corresponds to a persistent (transitory) income shock alone. "Persistent+Transitory" corresponds to a combination of persistent and transitory shocks. Light (dark) blue corresponds to shocks that are (are not) associated with a divorce event. (Color figure can be viewed at wileyonlinelibrary.com)

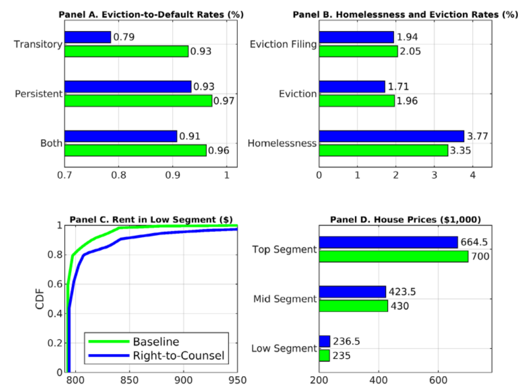

Figure 4. Effects of " Right-to-Counsel." Panel A: The eviction-to-default rate is the ratio of evictions to default spells. The default driver is the type of negative income shock that hit

5.5 Figure 4: Effects of Right-to-Counsel; Table III: Welfare Effects, Right-to-Counsel

Read:

- Figure 4 shows that Right-to-Counsel lowers the eviction-to-default rate for some default types but does not materially prevent evictions among households hit by persistent shocks.
- The policy increases homelessness by about 12.5% to 13% because higher default costs translate into higher rents and stronger screening.
- Observed rents in the low segment rise only mildly, but this masks screening: risky households are less likely to sign leases in the first place.
- Table III reports welfare effects. The median household is slightly worse off, and low-skilled single households are especially harmed.

Interpretation: The policy helps in the legal case conditional on default, but equilibrium rent setting undoes much of the intended protection. The most vulnerable households can be harmed because they become too risky to rent to at prevailing contract terms.

Policy interpretation: The table and figure warn against evaluating Right-to-Counsel only using eviction-case success rates. A tenant can win more time or pay less arrears in court, while future tenants face higher rents or tighter screening.

Table III
Welfare Effects, Right-to-Counsel

This table reports the median one-time lump-sum transfer, in dollar terms, that is required equate welfare of newborn agents in the baseline economy and in the "Right-to-Counsel" econon A negative (positive) sign means that the median household is better (worse) off in the baseli economy.

Human Capital	Marital Status	
	Single	Marri
< High school	−322	−58
≥ High chool	−17	286
All	−58	

Monetary cost. The monetary costs of "Right-to-Counsel" are borne by tl

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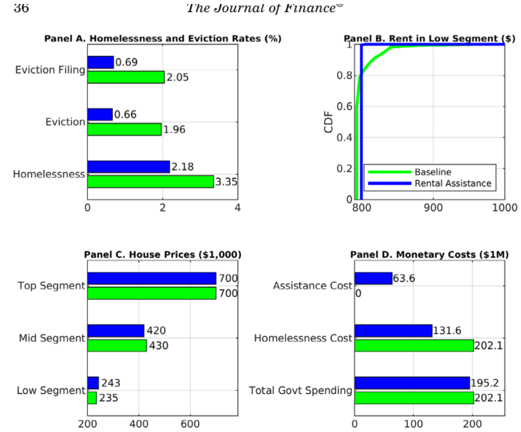

5.6 Figure 5: Effects of rental assistance; Table IV: Welfare Effects, Rental Assistance

Read:

- Figure 5 shows that rental assistance lowers eviction filings, evictions, and homelessness.
- The homelessness rate falls from 3.35% to 2.18%.
- Eviction filings fall from 2.05% to 0.69%, and evictions fall from 1.96% to 0.66%.
- The policy reduces default premiums for low-income renters, but increases demand for bottom-segment housing, raising house prices and risk-free rent.
- Table IV reports positive welfare gains, especially for low-skilled households.

Interpretation: Rental assistance works differently from Right-to-Counsel. It reduces default probability before the tenant enters delinquency. That lowers investor risk and weakens the screening force.

Policy interpretation: The result supports policies that insure renters against the shocks that cause nonpayment rather than policies that only alter the eviction process after nonpayment has occurred.

Table IV

Welfare Effects, Rental Assistance

This table reports the median one-time lump-sum transfer, in dollar terms, that is required equate welfare of newborn agents in the baseline economy and in the rental assistance econon A negative (positive) sign means that the median household is better (worse) off in the baseli economy.

Human Capital	Marital Status		
	Single		Marrie
$<$ High school	1,619		2,839
$\geq$ High school	1,010		1,143
All		1,288	

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Table V

Welfare Effects, Alternative Models

This table reports the median one-time lump-sum transfer, in dollar terms, that is required to equate welfare of newborn agents in the baseline economy to that under "Right-to-Counsel" (first column) and rental assistance (second column). A negative (positive) sign means that the median household is better (worse) off in the baseline economy. Row 1 corresponds to the main model specification. Row 2 corresponds to a model in which the minimal house quality h_1 is lower. Row 3 corresponds to a model in which eviction imposes a direct utility penalty. Row 4 corresponds to a model in which supply elasticities differ across housing segments. Row 5 corresponds to a model in which the average term of rental leases is 12 months. Row 6 corresponds to a model in which rent arrears are forgiven so that delinquent tenants need to only pay the per-period rent to stop the eviction process. Row 7 corresponds to a model in which rent arrears are forgiven only for tenants with a high persistent income state. Row 8 corresponds to a model with $\beta - \delta$ preferences. Row 9 corresponds to a model in which the discount rate β is set to $0.9^{\frac{1}{12}}$.

Model	Policy	
	Right-to-Counsel	Rental Assistance
Main (1)	−58	1,288
Lower h_1 (2)	−163	1,267
Utility Penalty of Eviction (3)	−124	1,186
Heterogeneous Supply Elasticities (4)	−58	1,309
Frequent Moving Shocks (5)	−116	1,004
Debt Forgiveness (All) (6)	−87	1,320
Debt Forgiveness (High z) (7)	−88	1,282
$\beta - \delta$ Preferences (8)	−62	1,260
Higher β (9)	−163	621

5.7 Table V: Welfare Effects, Alternative Models

Read:

- The table compares welfare under Right-to-Counsel and rental assistance across alternative model specifications.
- Right-to-Counsel remains negative or close to negative across variants.
- Rental assistance remains positive in all listed alternatives, although gains are smaller when the discount factor is much higher.
- The robustness checks include lower minimum house quality, direct utility penalty of eviction, heterogeneous supply elasticities, frequent moving shocks, arrears forgiveness, beta-delta preferences, and higher patience.

Interpretation: Table V shows that the main qualitative conclusions are not driven by one controversial modeling choice. The contrast between Right-to-Counsel and rental assistance survives several changes to preferences, housing supply, and arrears assumptions.

How it fits the paper: This table is the paper's robustness backbone. It makes the policy message more credible because it shows that the ranking of policies is stable across alternative specifications.

5.8 Figure 6: Eviction moratorium

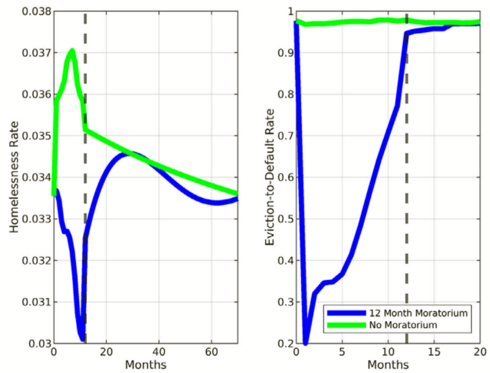

Figure 6. Eviction moratorium. The left (right) panel plots the homelessness rate (eviction-to-default rate) along the transition path, following an unexpected, one-time, increase in the unemployment rate. Month 0 corresponds to the baseline steady state; the shock hits in month 1.

Figure 6: Eviction moratorium. The figure compares transition paths with and without a temporary 12-month moratorium after a COVID-like unemployment shock. The moratorium prevents some homelessness rather than merely postponing it, because the underlying shock is temporary.

Read:

- The figure plots transition dynamics after an unexpected unemployment shock.
- Without a moratorium, homelessness jumps sharply and later declines as households recover.
- With a 12-month moratorium, homelessness initially falls because delinquent households cannot be evicted.
- When the moratorium ends, homelessness rises but never reaches the no-moratorium path.
- The eviction-to-default rate is far below one during the moratorium because many tenants recover and repay before eviction can occur.

Interpretation: Figure 6 explains why moratoria can work even when permanent Right-to-Counsel does not. The relevant shock is transitory, and the policy is temporary, so tenants can recover before eviction while investors do not permanently reprice default risk as severely.

Policy interpretation: The key lesson is conditional: making eviction harder is useful when default risk is short-lived. It is much less effective when default risk is persistent.

6 Short summary

- The paper studies eviction policies in a dynamic equilibrium rental market.
- Rental contracts are risky assets because tenants can default on rent.
- Investors price default risk into rents through default premiums.
- The key empirical fact is that normal-times rent defaults are driven mostly by persistent income shocks.
- When default risk is persistent, permanent eviction protections tend to delay eviction rather than prevent it.

- Right-to-Counsel raises investor default costs and equilibrium rents, which screens some low-income households out of the rental market.
- Rental assistance lowers the probability of default before default occurs, reducing eviction filings, evictions, and homelessness.
- The model predicts positive welfare effects from rental assistance and negative or weakly negative effects from Right-to-Counsel.
- A temporary eviction moratorium can work after a transitory aggregate shock because many delinquent tenants recover before eviction resumes.
- The main policy message is that the persistence of default risk determines the effectiveness of eviction protections.

7 Conclusion

7.1 Core conclusion

Abramson develops a dynamic equilibrium model in which noncontingent rental contracts, borrowing constraints, minimum housing quality, endogenous default, eviction risk, and landlord zero-profit conditions jointly determine rents, evictions, and homelessness. The central conclusion is that eviction policies cannot be evaluated only at the court-case level. They must be evaluated in equilibrium because they change landlord pricing, screening, and housing supply.

7.2 Why the paper changes the interpretation of tenant protections

A policy such as Right-to-Counsel appears protective because it makes it harder to evict delinquent tenants and can reduce repayment obligations. But the model shows that this direct legal effect can be outweighed by equilibrium pricing. If investors expect default to become more costly, they raise default premiums. Low-income households already face high rent burdens, so even moderate rent increases can push them below the minimum-house-quality affordability threshold. This is why homelessness can rise even when the legal process becomes more tenant-friendly.

7.3 Why persistence of default risk is the key statistic

The persistence of income shocks determines whether extra time in the eviction process solves the underlying problem. If default is driven by a short-lived liquidity shock, delaying eviction can allow tenants to recover and repay. If default is driven by persistent income declines, delaying eviction mainly increases unpaid rent and investor losses. The paper's empirical contribution is to show that normal-times defaults are largely driven by persistent job-loss and divorce-related shocks.

7.4 Why rental assistance performs better

Rental assistance improves outcomes because it acts before default. By lowering the tenant's out-of-pocket rent, it lowers the probability of delinquency and reduces investor default risk. This lowers default premiums, allowing more low-income households to rent. Although rental assistance raises demand for bottom-segment housing and therefore raises house prices and risk-free rents, the overall effect is a reduction in eviction filings, evictions, and homelessness, with positive welfare gains for poor households.

7.5 Why temporary moratoria are different

The moratorium result qualifies the negative evaluation of permanent eviction protections. A moratorium can be effective after a transitory aggregate shock such as COVID-19 unemployment because many affected tenants recover before the moratorium ends. Investors also anticipate that the policy is temporary, so the equilibrium rent response is muted. This distinction highlights that the same legal instrument can have different effects depending on shock persistence and policy duration.

7.6 Limitations and future research

The paper is a structural model and therefore depends on its assumptions. It abstracts from endogenous landlord filing decisions, some rental-market search frictions, labor-supply distortions from subsidies, informal evictions, and city-specific institutional differences beyond the calibration target. Future work could combine the equilibrium pricing channel here with richer search-and-matching frictions, endogenous landlord legal strategies, and household labor supply. The most promising extensions would ask how optimal policy varies across cities with different supply elasticities, rent burdens, homelessness costs, and eviction court institutions.

7.7 Takeaway

The most important lesson is that eviction policy is about insurance design, not just legal protection. Policies that insure renters before default can reduce housing insecurity. Policies that only change what happens after default can backfire when default risk is persistent and rents adjust in equilibrium.